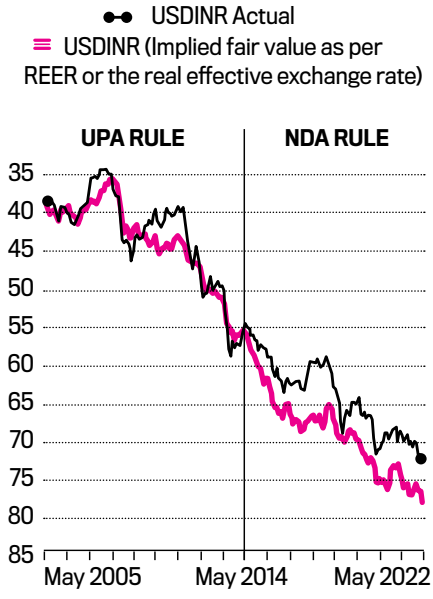
other major currencies like the British pound, the Japanese yen and the euro had weakened more than the rupee and that the Indian currency had, in fact, strengthened against these currencies. Indeed, the British pound has declined 12.27 per cent between December 31, 2021 and July 15, 2022 and the euro by 11.3 per cent compared to the six per cent decline in the rupee's value in the same period.

If the finance minister sounded a tad defensive, it was because the prime minister, when he was chief minister of Gujarat, had blasted then prime minister Manmohan Singh for the sharp depreciation of the rupee in 2013. Now the boot is on the other foot. Shashi Tharoor, a prominent Congress MP, told news agency ANI, "Modiji is the one who made this an election issue in 2014. In fact there was talk about the fact that he was going to strengthen the rupee when he came because it shows a weak government, and therefore a weak rupee...but then what is the strong government giving us? An even weaker rupee." Congress leader Rahul Gandhi took to Twitter, stating, "Rupee reaches 80. Cooking gas has surged over Rs 1,000. 1.3 crore people are unemployed in June...the government will have to answer."

The rupee's slide was always expected. With the world embroiled in geopolitical, health and economic turmoil, currencies across the world have plunged (see *Losing Currency*). The rupee, too, has been under immense pressure, especially since Russia invaded Ukraine on February 24. Till then, the rupee had depreciated just about 0.3 per cent against the dollar, but has fallen 6.9 per cent in value since. A combination of factors have abetted its fall, chief among them the Russia-Ukraine conflict triggering a steep hike in fuel prices and the US Federal Reserve's aggressive rate hike policy resulting in massive capital outflows from emerging economies, including India. NSDL (National Securities Depository Ltd) data shows that foreign portfolio investors have sold more than

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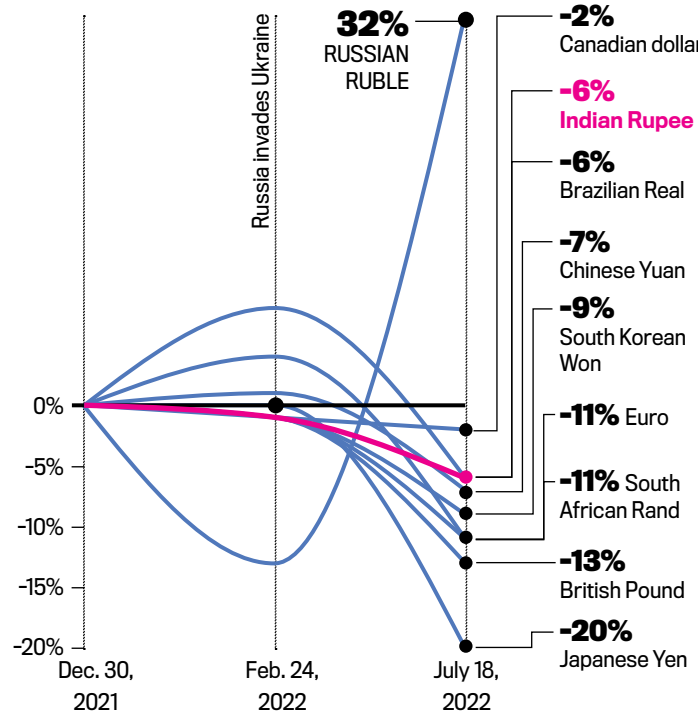
The NDA govt has failed to break the rupee's fall. It has depreciated 25 per cent since December 2014



Source: QuantEco Research

AHEAD OF THE PACK

The rupee has fared better than other currencies like the yen or the pound



Source: European Central Bank; Percentages rounded off

Graphics by **TANMOY CHAKRABORTY**